

far from fully vindicated. The DJIA advanced to 685 in 1961; then fell a little below our 584 level (to 566) later in the year; advanced again to 735 in late 1961; and then declined in near panic to 536 in May 1962, showing a loss of 27% within the brief period of six months. At the same time there was a far more serious shrinkage in the most popular “growth stocks”—as evidenced by the striking fall of the indisputable leader, International Business Machines, from a high of 607 in December 1961 to a low of 300 in June 1962.

This period saw a complete debacle in a host of newly launched common stocks of small enterprises—the so-called hot issues—which had been offered to the public at ridiculously high prices and then had been further pushed up by needless speculation to levels little short of insane. Many of these lost 90% and more of the quotations in just a few months.

The collapse in the first half of 1962 was disconcerting, if not disastrous, to many self-acknowledged speculators and perhaps to many more imprudent people who called themselves “investors.” But the turnabout that came later that year was equally unsuspected by the financial community. The stock-market averages resumed their upward course, producing the following sequence:

The recovery and new ascent of common-stock prices was indeed remarkable and created a corresponding revision of Wall Street sentiment. At the low level of June 1962 predictions had appeared predominantly bearish, and after the partial recovery to the end of that year they were mixed, leaning to the skeptical side. But at the outset of 1964 the natural optimism of brokerage firms was again manifest; nearly all the forecasts were on the bullish side, and they so continued through the 1964 advance.

	<i>DJIA</i>	<i>Standard & Poor's 500-Stock Composite</i>
December 1961	735	72.64
June 1962	536	52.32
November 1964	892	86.28

We then approached the task of appraising the November 1964 levels of the stock market (892 for the DJIA). After discussing it learnedly from numerous angles we reached three main conclusions. The first was that “old